

Court No. - 10

Case :- WRIT - C No. - 4222 of 2009

Petitioner :- Paschimanchal Vidyut Vitran Nigam Ltd. Thru M.D. And Others

Respondent :- The Appellate Authority/Addl. Commissioner And Another

Petitioner Counsel :- H.P. Dube

Respondent Counsel :- C.S.C.,Ranjit Saxena

Hon'ble Abhinava Upadhya,J.

Passed over on the request of Sri H.P. Dubey,
learned counsel for the petitioners.

Order Date :- 25.8.2009

VS.

Court No. - 21

Case :- WRIT - C No. - 4222 of 2009

Petitioner :- Paschimanchal Vidyut Vitran Nigam Ltd. Thru M.D.
And Others

Respondent :- The Appellate Authority/Addl. Commissioner And
Another

Petitioner Counsel :- H.P. Dube,R.K. Shukla

Respondent Counsel :- C.S.C.,Ranjit Saxena

Hon'ble Dilip Gupta,J.

The respondents may file a reply to the affidavit filed in support of
Civil Misc. Listing Application No.160188 of 2009.

List this petition in the week commencing 11th January, 2010.

Order Date :- 9.12.2009

SK

Court No. - 21

Case :- WRIT - C No. - 4222 of 2009

Petitioner :- Paschimanchal Vidyut Vitran Nigam Ltd. Thru M.D. And Others

Respondent :- The Appellate Authority/Addl. Commissioner And Another

Petitioner Counsel :- H.P. Dube,R.K. Shukla

Respondent Counsel :- C.S.C.,Ranjit Saxena

Hon'ble V.K. Shukla,J.

On the matter being taken up today, Sri Ranjit Saxena, Advocate prays for and is accorded ten days time to file supplementary counter affidavit. List after ten days on 27.01.2010.

Order Date :- 11.1.2010

SRY

Court No. - 21

Case :- WRIT - C No. - 4222 of 2009

Petitioner :- Paschimanchal Vidyut Vitran Nigam Ltd. Thru M.D. And Others

Respondent :- The Appellate Authority/Addl. Commissioner And Another

Petitioner Counsel :- H.P. Dube,R.K. Shukla

Respondent Counsel :- C.S.C.,Ranjit Saxena

Hon'ble V.K. Shukla,J.

On the matter being taken up today, Sri Ranjeet Saxena, Advocate informed the court he has filed counter affidavit in the registry of this court on 23.1.2010, same is not on record. Office is directed to trace out the same and place it on record.

List in the next cause list, showing the name of Sri Pankaj Kumar Shukla, from the side of the petitioner.

Order Date :- 27.1.2010

T.S.

Court No. - 21

Case :- WRIT - C No. - 4222 of 2009

Petitioner :- Paschimanchal Vidyut Vitran Nigam Ltd. Thru
M.D. And Others

Respondent :- The Appellate Authority/Addl. Commissioner
And Another

Petitioner Counsel :- H.P. Dube,R.K. Shukla

Respondent Counsel :- C.S.C.,Ranjit Saxena

Hon'ble V.K. Shukla,J.

Heard.

Judgment is reserved.

Order Date :- 5.2.2010

SRY

Reserved

CIVIL MISC. WRIT NO. - 4222 of 2009

Paschimanchal Vidyut Vitran Nigam Ltd. Thru M.D. and Others

Versus

The Appellate Authority/Addl. Commissioner And Another

Hon'ble V.K. Shukla, J.

Paschimanchal Vidyut Vitran Nigam Limited through its Managing Director has approached this Court, questioning the validity of order dated 24.10.2009 passed by respondent No. 1 in Appeal No.2 of 2007-08, Sunita Spat Private limited vs. Paschimanchal Vidyut Vitran Nigam Ltd.

Brief background of the case is that respondent No. 2 is a company incorporated under Indian Companies Act, 1956 situated at Jansath Road, Muzaffarnagar. Said company is customer of the petitioners with contracted load of 4000 KVA. Said company has been running Induction Furnace for manufacture of steel ingots. Supply of energy to the said unit is ensured from 33 KVA sub-station. In order to monitor the consumption of electrical energy availed by the said company, two meters have been installed; one inside premises of the company and the other at the pole outside the premises of company. Case of the petitioner has been that on 16.07.2007 main meter installed at the premises of the company was inspected and during the course of inspection the current transformer and potential transformer's chamber were found open and B phase load side C.T. was found burnt on the secondary side. On 29.07.2007 meter reading of the premises was done and a note was made in the reading slip that metering circuit required to be checked up. On 02.08.2007 inspection was made at the premises and metering system was inspected by the officers of the Corporation together with the officers of M/S Yadav Measurement Private Limited. It has been stated that the said inspection was made in the presence of the representative of the company in question, but refusal was there to sign on the inspection report and sealing certificate was accordingly prepared and the same was duly signed by the officers of the Corporation and M/S Yadav Measurement Private Limited. It has also been contended that the meter circuit at the premises of the company was

found slow to the extent of 53.14% and the test result was given by M/S Yadav Measurement Pvt. Ltd., which was signed by the representative of the company. Petitioners have stated that check report dated 02.08.2007 clearly constituted an offence of 'theft of electricity' under Section 135 of the Electricity Act, 2003, and in such circumstances F.I.R. was lodged. Petitioners have stated that thereafter based on the said check report provisional order of assessment for an amount of Rs.97,53,840 was passed and along with the same show cause notice dated 04.08.2007 was also issued directing to file objection. To the said notice objections were filed on 07.08.2007. After considering the objection of the respondent company, the Executive Engineer (Revenue) Electricity Distribution Division, Anand Bhawan, Muzaffarnagar passed final assessment order on 07.08.2007. Aggrieved against the said order, writ petition No.37706 of 2007 had been filed by the respondent company. Said writ petition was dismissed on the ground of alternative remedy of appeal being available under Section 127 of the Electricity Act, 2003. Conditional order was also passed for restoration of supply if the respondent company deposited 50% of the assessed amount. On 05.09.2007, as directed 50% of the assessed amount was deposited and appeal in question was also filed. On 09.09.2007, qua the F.I.R. which had been lodged, after investigation concerned police submitted charge-sheet before Special Judge. Petitioners have contended, that at subsequent stage of proceedings, it was realized at the Corporation level, that assessment made as against consumer was not correct, and matter requires re-examination and the number of days may be counted for a period of one year. On said premises revised provisional assessment order dated 10.01.2008, was issued by Executive Engineering making revenue assessment of Rs.23,25,35,580.95/- asking the consumer to file objection against the proposed revenue assessment. Petitioner's claim that against the same, as no objection had been filed, as such said order had attained finality, and as revised assessment had been made during pendency of the appeal before the Appellate Authority, as such Appellate Authority was apprised by means of application dated 05.02.2008, supported by affidavit, contending therein that assessment stands revised, in such a situation, present appeal has rendered itself as infructuous, and consumer may prefer appeal against the revised assessment order dated 10.01.2008. Said appeal under Section 127 has been allowed on 24.10.2008. At this juncture, present writ

petition has been filed.

Counter affidavit along with supplementary counter affidavit has been filed. Rejoinder affidavit has also been filed. After pleadings aforesaid have been exchanged, present writ petition has been taken up for final hearing and disposal with the consent of the parties.

Sri P.K. Shukla, Advocate, appearing for the petitioners, contended with vehemence that in the present case appellate authority has totally transgressed and overstepped its jurisdiction in allowing the appeal without appreciating this facet of the matter that during pendency of appeal fresh assessment has been done and the same has never been subject matter of challenge and in such a situation, appeal had been rendered as infructuous, and fresh appeal ought to have been filed as such decision on merit was not at all warranted in the facts of case³, coupled with the fact, that in the theft case charge sheet has already been filed, as such no finding could have been returned that it was not a case of theft and that too by misreading the material available on record, as such order passed by the appellate authority is liable to be set aside.

Countering the said submission, Sri Ranjit Saxena, Advocate, appearing for the respondent company, on the other hand, has contended that the power of appellate authority is coextensive to the power of the assessing authority and the appellate authority has every authority to re-assess the entire record and to reach its own conclusion, and as far as assessment made during pendency of appeal is concerned, the same cannot be taken into account, as at no point of time final assessment orders were passed, in such circumstances no interference should be made by this Court.

After respective arguments have been advanced, factual position which emerges in the present case is that entire proceedings had been initiated on the basis of inspection note dated 02.08.2007 prepared by Executive Engineer, and in the said inspection so made, categorical note has been made that all the seals had been found tampered of Metering Cubicle of CTPT chamber and on further opening of chamber it was found that manual manipulations have been made to influence recording of consumption for the same videography has also been done. On page 35 of the paper book column 8 deals with shortcomings which had been found. Same is in the shape of

prescribed format wherein various infirmities have been printed and therein cross mark had been appended qua the infirmity indicated that the consumer has been found in the act of theft of electricity. Therein where it has been mentioned that meter has been found with broken seal/tampered/burnt, it has been marked as correct by making tick mark of “right”. Detail note of the inspection made mentions that manipulations have been made by fictitious recording of energy, and then it has been mentioned that said act of the respondent company falls within the ambit of Section 135 of the Electricity Act, 2003. Based on the said inspection note, provisional assessment notice was given mentioning the period from 15.7.2007 to 2.8.2007, and details of shortcoming was mentioned as tampering with meter and theft to which objections had been filed, only to the effect, that period mentioned be accepted as 15 days, as on 15/16.7.2007, it was breakdown and no shortcoming had been shown in scaling certificate, and billing be done as per the meter. Thereafter taking into the request made, same was revised to Rs. 87,27,120.00/- and on 7.8.2007, said revised bill and the monthly consumption bill was send, wherein date of payment was shown as 20.8.2007. Aggrieved against the same, writ had been filed, which was dismissed on the ground of alternative remedy of appeal and then appeal had been filed.

The first question to be adverted to be , is as to whether, appellate authority has transgressed its jurisdiction by recording finding that present case was not a case of theft, by ignoring misreading the evidence available on record. Section 126 of the Electricity Act, 2003 provides for assessment. Under Section 127(1) any person aggrieved by the final order made under Section 126 may within 30 days prefer an appeal to the appellate authority as may be prescribed. Sections 126 and 127(1) of the Electricity Act, 2003 are quoted below:-

"126. Assessment.- (1) If on an inspection of any place or premises or after inspection of the equipments, gadgets, machines, devices found connected or used, or after inspection of records maintained by any person, the assessing officer comes to the conclusion that such person is indulging in unauthorised use of electricity, he shall provisionally assess to the best of his judgment the electricity charges payable by such person or by any other person benefited by such use.

(2) The order of provisional assessment shall be served upon the person in occupation or possession or in charge of the place or premises in such manner as may be prescribed.

(3) The person, on whom an order has been served under sub-section (2), shall be entitled to file objections, if any, against the

provisional assessment before the assessing officer, who shall, after affording a reasonable opportunity of hearing to such person, pass a final order of assessment within thirty days from the date of service of such order of provisional assessment, of the electricity charges payable by such person.

(4) Any person served with the order of provisional assessment may, accept such assessment and deposit the assessed amount with the licensee within seven days of service of such provisional assessment order upon him.

(5) If the assessing officer reaches to the conclusion that unauthorised use of electricity has taken place, the assessment shall be made for the entire period during which such unauthorised use of electricity has taken place and if, however, the period during which such unauthorised use of electricity has taken place cannot be ascertained, such period shall be limited to a period of twelve months immediately preceding the date of inspection.

(6) The assessment under this section shall be made at a rate equal to the tariff applicable for the relevant category of services specified in sub-section (5).

Explanation.- For the purposes of this section,-

(a) "assessing officer" means an officer of a State Government or Board or licensee, as the case may be, designated as such by the State Government;

(b) "unauthorised use of electricity" means the usage of electricity-

(i) by any artificial means; or

(ii) by a means not authorised by the concerned person or authority or licensee; or

(iii) through a tampered meter; or

(iv) for the purpose other than for which the usage of electricity was authorised; or

(v) for the premises or areas other than those for which the supply of electricity was authorised.

127. Appeal to appellate authority.(1) Any person aggrieved by the final order made under section 126 may, within thirty days of the said order, prefer an appeal in such form, verified in such manner and be accompanied by such fee as may be specified by the State Commission, to an appellate authority as may be prescribed."

Part IVX of the Electricity Act, 2003 deals with "Offences and Penalties". Section 135 defines theft of electricity. Section 135(1) and (1A) are quoted below:-

"135.Theft of electricity.-(1) Whoever, dishonestly,-

(a) taps, makes or causes to be made any connection with overhead, underground or under water lines or cables, or service wires, or service facilities of a licensee or supplier, as the case may be; or

(b) tampers a meter, installs or uses a tampered meter, current reversing transformer, loop connection or any other device or method which interferes with accurate or proper registration,

calibration or metering of electric current or otherwise results in a manner whereby electricity is stolen or wasted; or

(c) damages or destroys an electric meter, apparatus, equipment, or wire or causes or allows any of them to be so damaged or destroyed as to interfere with the proper or accurate metering of electricity;
or

(d) uses electricity through a tampered meter; or

(e) uses electricity for the purpose other than for which the usage of electricity was authorised, so as to abstract or consume or use electricity shall be punishable with imprisonment for a term which may extend to three years or with fine or with both:

Provided that in a case where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use-

(i) does not exceed 10 Kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the fine imposed shall not be less than six times the financial gain on account of such theft of electricity;

(ii) exceeds 10 Kilowatt, the fine imposed on first conviction shall not be less than three times the financial gain on account of such theft of electricity and in the event of second or subsequent conviction the sentence shall be imprisonment for a term not less than six months, but which may extend to five years and with fine not less than six times the financial gain on account of such theft of electricity;

Provided further that in the event of second and subsequent conviction of a person where the load abstracted, consumed, or used or attempted abstraction or attempted consumption or attempted use exceeds 10 kilowatt, such person shall also be debarred from getting any supply of electricity for a period which shall not be less than three months but may extend to two years and shall also be debarred from getting supply of electricity for that period from any other source or generating station:

Provided also that if it is provided that any artificial means or means not authorised by the Board or licensee or supplier, as the case may be, exist for the abstraction, consumption or use of electricity by the consumer, it shall be presumed, until the contrary is proved, that any abstraction, consumption or use of electricity has been dishonestly caused by such consumer.

(1A) Without prejudice to the provisions of this Act, the licensee or supplier, as the case may be, may, upon detection of such theft of electricity, immediately disconnect the supply of electricity:

Provided that only such officer of the licensee or supplier, as authorised for the purpose by the Appropriate Commission or any other officer of the licensee or supplier, as the case may be, of the rank higher than the rank so authorised shall disconnect the supply line of electricity:

Provided further that such officer of the licensee or supplier, as the case may be, shall lodge a complaint in writing relating to the commission of such offence in police station having jurisdiction within twenty four hour from the time of such disconnect:

Provided also that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of this Act, shall,

without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause., restore the supply line of electricity within forty-eight hours of such deposit or payment;"

Section 126 provides that if on an inspection of any place it is found that such person is indulging in unauthorised use of electricity he shall be provisionally assessed. The words used in Section 126 are "unauthorised use of electricity'. Unauthorised use of electricity has been defined in Explanation (b), as quoted above. The definition of unauthorised use of electricity as given in Explanation (b) is wide enough which covers the usage of electricity by any artificial means or by a means not authorised by the concerned person or authority or licensee or through a tampered meter. The said definition of unauthorised use of electricity as explained in Explanation (b) is comprehensive enough to cover in itself the theft of electricity. The theft of electricity has been more elaborately explained in Section 135 but the theft of electricity as defined in Section 135 is fully covered by the definition "unauthorised use of electricity' and the theft of electricity under Section 135 is also an unauthorised use of electricity for which assessment is contemplated under Section 126. The provisions of Section 135 is under the Chapter "Offences and Penalties', which deals a different subject than the assessment. A person found indulging in theft is also liable for offences and penalties and can be prosecuted and convicted according to the Act. The scheme of the 2003 Act does not exclude the assessment under Section 126 in theft cases. Same is further fortified by Section 135(1A) third proviso, which provides that the licensee or supplier, as the case may be, on deposit or payment of the assessed amount or electricity charges in accordance with the provisions of the Act, shall without prejudice to the obligation to lodge the complaint as referred to in the second proviso to this clause, restore the supply. Thus assessment of electricity charges due to theft of electricity is contemplated under Section 135 itself, which further provides that after deposit of the assessed amount electricity is required to be restored. In case in theft no assessment is to be made under Section 126. Section 135(1A) third proviso would not have been as contained in the Act. The scheme of the 2003 Act thus clearly delineates the object that Legislature contemplated assessment under Section 126 with regard to all categories of unauthorised use of electricity including theft of electricity. The appeal provided for under Section 127 (1) is

against the final order made under Section 126. No parameters have been provided for, as per which appeal in question is to be decided, in such a situation authority of Appellate forum is co-extensive to the authority of assessing authority and appellate authority is free to decide, as to whether assessment has been correctly made or not and is also free to decide, on the material available on record, as to whether it is case of use of unauthorized use of electricity and same covers the field of theft of electricity also. For the purpose of assessment under Section 126, the power being co-extensive, the appellate authority is empowered under the scheme of things to decide the question, as to whether assessment can be made on the basis of theft of energy in the facts of the case, for which different parameter has been provided for under paragraph 8.1 of the U.P. Electricity Supply Code, 2005 or for unauthorized use of electricity as envisaged under paragraph 6.8 of the U.P. Electricity Supply Code, 2005. The inevitable conclusion that appellate authority is competent to go into the question of theft also for judging the validity of assessment made under Section 126.

The appellate authority in the present case has examined each and every aspect of the matter and has also found that meter was tampered, but in the facts of the case, has proceeded to record finding that it was not a case of theft, keeping in mind the mark appended qua column No.8. The appellate authority has taken note of the fact that in the present case meter in question had not been sent to the test laboratory, and further taken note of other circumstances which were in existence, which prompted him to form view that in such a situation the opinion that it was not a case of theft. Said view formed cannot be said to be arbitrary and unreasonable. The appellate authority has got full authority to reach such conclusion on the material available and merely because second view is also possible, as such this Court refuses to interfere with the said exercise of discretion while exercising authority of judicial review.

Much emphasis has been laid on the fact that amendment ought to have been made in the memo of appeal. This Court is of the firm view that once provisional assessment order was made during pendency of appeal and even no reply was filed by the respondent company, then also final order ought to have been passed in black and white. In absence of there being any final order, the respondent company was not obliged to make amendment as has been prayed for, as appeal under Section 127 is maintainable only against final orders and not against provisional order.

Assessments are made under Section 126 of the Electricity Act, 2003. There are two stages of assessment (I) provisional assessment as per Section 126(2) (ii) final assessment to be made within thirty days from the date of service of provisional order in terms of Section 126(3). Section 126 (5) declares the mode of passing order, after conclusion is arrived at qua unauthorized use of electricity. Under the scheme of things provided for, after final order of assessment has been passed, qua the electricity charges payable by such person, then there is no provision which empowers the assessing authority to re-open the said assessment, which has attained finality. This principle is always subject to the inherent authority that is the authority possessed, in cases of fraud or misrepresentation being detected, same can be revived but after affording opportunity of hearing.

Coupled with this, in the present case accepted position is that F.I.R. has been lodged, wherein charge sheet has been filed. All these proceedings are subject to further orders to be passed by Special Court constituted under Section 153 of the Electricity Act, 2003. The powers of special court have been given in sub-sections (5) and (6) of Section 154 of the Electricity Act, 2003, which are quoted as below:

“(5) The Special Court shall determine the civil liability against a consumer of a person in terms of money for theft to energy which shall not be less than an amount equivalent to two times of the tariff rate applicable for a period of twelve months preceding the date of detection of theft of energy or the exact period of theft if determined whichever is less and the amount of civil liability so determined shall be recovered as if it were decree of civil court.

(6) In case of civil liability so determined finally by the Special Court is less than the amount deposited by the consumer or the person, the excess amount so deposited by the consumer or person, to the Board or licensee or to the concerned person, as the case may be shall be refunded by the Board of licensee of the concerned person, as the case may be, within a fortnight from the date of communication of the order of the Special Court together with interest at the prevailing Reserve Bank of India prime lending rate from the period from the date of such deposit till the date of payment.

Explanation- For the purpose of this section, “civil liability” means loss or damage incurred by the Board of licensee or the concerned person, as the case may be, due to commission of an offence referred to in Sections 135 to 140 and Section 150.”

Section 155 of the Electricity Act, 2003 provides six weeks' further time is allowed for filing counter affidavit. Rejoinder affidavit may be filed within next two weeks.

List thereafter.

Interim order already passed is extended till the next date of listing.

Provides that the Special Court shall have power of the court of session. Said section reads as under:

“155. Save as otherwise provided in this Act, the Code of Criminal Procedure, 1973 (2 of 1974), in so far as they are not inconsistent with the provisions of this Act, shall apply to the proceedings before the special court and for the purpose of the provisions of the said enactments, the special court shall be deemed to be a court of session and shall have all powers of a court of session and the persons conducting a prosecution before the special court shall be deemed to be a public prosecutor.”

Once, even if the appellate authority has recorded finding that it was not a case of theft, said order is always subject to the order passed by the special court and the terms and conditions are very clearly provided that difference of the amount can be realized in case of theft of electricity is proved.

Consequently, in the facts of the case, interest of the petitioners is fully protected. Once charge sheet has been filed and the matter is yet to be adjudicated, and in case there is any theft in revenue, then it can always be taken care of by the special court under Sections 154 (5) and (6) of the electricity Act, 2003. Writ petition lacks substance and the same is dismissed.

26.03.2010

SRY